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The role of pre-consumption experience in perceived value of retailer brands: Consumers' experience from emerging markets

Kai Jiang[a,1], Sherriff Ting-kwong Luk[b,1], Silvio Cardinali[c,*,1]

[a] University of Waterloo, Waterloo, ON, Canada
[b] Nanjing University of Finance & Economics, Nanjing, China
[c] Politecnica delle Marche University, Ancona, Italy

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ABSTRACT

This empirical study integrates the theory of brand touchpoints and the theory of brand experience to investigate the combined effect of pre-consumption and consumption experience on consumer perceived value (CPV) and brand preference. We chose cosmetics retailing for investigation and consumers from a major emerging market: China. Findings reveal that favorable experience with the brand's marketing communication activities during the pre-consumption stage will elicit positive affective responses to enhance brand preference that contributes directly to perceived value and indirectly to brand loyalty. The study extends the conceptualization of consumption-based evaluation of perceived value of service brands to include the consideration of pre-consumption experience. Our findings contribute to a better understanding of the impact of different contact points on the development of brand equity in both pre-consumption and consumption phases from a holistic brand management perspective and provide guidelines for resource allocation on various marketing mix programs.

1. Introduction

The experience factor plays an increasingly important role in determining the success of a company's offering. Designing and managing customer experience has been widely recognized as an effective way to create value for customers (Addis & Holbrook, 2001; Carù & Cova, 2003; LaSalle & Britton, 2003; Schmitt, 1999; Shaw & Ivens, 2002). Brand experience is a type of customer experience and the base for cognitive appraisals that consequently provoke affective responses and satisfaction (Ding & Tseng, 2015). The theory of brand experience suggests that experiences with a brand would emerge from a set of interactions between the brand and its customers from pre-consumption to post-consumption stages. Brakus, Schmitt, and Zarantonello (2009) argued that customer experiences occur not only in the consumption process (e.g., purchasing and using products or services), but also in customers' exposure to marketing communication activities. Consumers' experience with a brand takes place as they search for product information, evaluate competing offers, make their buying decision, interact with frontline service personnel, and consume the product and service (Arnould, Price, & Zinkhan, 2004; Brakus, Schmitt, & Zhang, 2008; Holbrook, 2000). This holistic brand experience approach argues experiences with the brand at pre-consumption, consumption, and post-consumption stages, both should have individual and accumulated effect on the assessment of the perceived value of a brand. This argument gains theoretical root from consumption theory, which suggests consumers normally follow a cognitive-affective-behavioral process to determine their future behavior to a brand (Holbrook, 1999).

Given the rising importance of brand experience on brand performance, there have been repeated calls for research on brand experience and brand equity (Chang & Chieng, 2006; Keller & Lehmann, 2006; Schmitt, 1999). Nevertheless, so far brand experience as an antecedent to consumer brand attitude has received inadequate attention in the extant literature (Biedenbach & Marell, 2010; Chaudhuri, 1995; Faircloth, Capella, & Alford, 2001; Ghose, 2007). Studies in this research stream are largely transaction-based, focusing on purchasing and consumption experiences while ignoring the potential impact of pre-consumption experience on the evaluation of brand performance. As a response, our study goes beyond transaction-based experience to include pre-consumption experience for their combined effects on consumers' perceived value of the brand.

The Theory of Brand Touchpoints reveals the fundamental importance of monitoring the experiences originated from critical touchpoints where consumers interact with the brand. Brand touchpoint refers to any customer point through which the customer and the brand

* Corresponding author.
E-mail address: s.cardinali@univpm.it (S. Cardinali).
[1] All co-authors contribute equally to the paper.

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interact (Neslin et al., 2006). Moreover, experiences with a brand can take place in both direct and indirect manners. Direct experience refers to purchase and consumption of the product whereas exposure to the brand's communication messages and activities are indirect experiences (Brakus et al., 2009). This leads to the suggestion that "a significant part of consumer's brand experience is the result of their exposure to a brand's marketing mix" (Shamim & Butt, 2013; p.104). In the retail sector, advertising, event marketing, and sales promotions are major marketing mix components frequently used by retailers to promote their brand and business. Despite their role in shaping brand attitudes and stimulating purchasing behavior, the contributions of these mix elements to perceived value and loyalty of a brand remain unclear and under-researched (Chu & Keh, 2006; Netemeyer et al., 2004). Many empirical studies in these areas either focus on the individual effect of these mix elements on purchasing motivation and behavior or examine their impact on low-level brand equity measures like awareness instead of high-level measures like customer perceived value (CPV) and customer loyalty. Besides, how brand preference (BP) and emotional responses (ER) influence CPV and brand loyalty have not been addressed adequately, especially in the retailing context in the Asian Markets. As a timely response to this research gap, our study focuses on three pre-consumption brand elements, print advertisements, public relations (PR) events, and Word-of-Mouth (WoM), to examine their potential effect on affective responses to retailer brands and combined effect with consumption experience on major dimensions of behavioral brand loyalty (BBL) and CPV.

Furthermore, there has not been systematic empirical research that explores the relationship between brand preference that is mainly driven by pre-consumption experiences with a brand's marketing communication activities and CPV that is determined by consumption experience, and how they combine to influence brand loyalty. In particular, the number of works in emerging markets where consumers and retailers have specific characteristics is low (Greenland, Coshall, & Combe, 2006; Javalgi & Martin, 2007).

However, differences in socioeconomic conditions lead to differences in consumer behavior (Greenland et al., 2006; Shukla, 2010). Coupled with the fact that consumers in emerging markets are more likely less familiar with foreign brands (Batra, 1997) and retail services (Jin & Sternquist, 2003; Shukla, 2010), more value-conscious, and price-sensitive (Brouthers & Xu, 2002; Cui & Liu, 2001), they may differ in information searching behavior and in evaluating their experience of retailer brands and formation of brand equity. In line with the increase in personal income in such emerging countries as China, India, and Brazil, more consumers from these countries go to developed countries for traveling and shopping (Sharma, Ivy, & Luk, 2015). Knowledge about what sorts of communication elements and which aspects of consumption experience would be more critical to the evaluation of brand experience and the dynamics of brand equity by consumers from emerging markets will enable retailers in developed markets to serve the former better and allocate resources to support marketing mix programs optimally.

The present study thus endeavors to narrow this knowledge gap by answering the following questions based on consumers' shopping experience in an emerging market with vast growth potential, specifically China:

i. What are the roles of pre-consumption experiences in the assessment of the perceived value of the consumption outcome and development of brand equity?
ii. In addition to consumption experience, how can pre-consumption experience enhance brand experience?
iii. To consumers from emerging markets like China, which marketing communication touch points, i.e., print Ads, WoM, and PR events, will be most effective in developing a higher level of BP and stimulating ER to reinforce brand loyalty?

Brand experience research should aim to investigate the predictive validity of brand experience with important analytically and cognitively driven concepts in brand literature, such as brand attitudes and brand equity (Schmitt, 2009). As a response to this call, the present study aims to achieve three major objectives. The first is to disentangle the effect of the experiences at individual critical touch points from pre-consumption to consumption stages on CPV and BP. The second objective is to investigate how BP contributes to the perceived value of the brand and ER mediates the impact of perceived value on brand loyalty. Subsequently, the accomplishment of the objectives above will extend the theoretical conceptualization of the effect of marketing communication activities on persuasion power, development of brand attitude, and purchase behavior to the assessment of the perceived value of a brand.

The subsequent section provides an extensive literature on the relationships among pre-consumption experience, consumption experience, BP, perceived value, and brand loyalty and on the proposed model. Next, the research methodology is explained, followed by a section on findings and discussion. Then, both academic contributions and pragmatic implications are discussed. Finally, limitations of the present study and opportunities for replication studies are described.

2. Literature review and hypotheses

2.1. Pre-consumption brand experience and brand preference

The experiential approach offers an original view into consumer behavior. The focus of consumer behavior research shifts from product consumption experience (functional) to the experiential aspect of consumption. Since consumers' experience with a brand flows through four stages, namely pre-consumption, purchasing, consumption, and post-consumption, brand experience is therefore not restricted to consumption experience; instead, it occurs whenever there is a direct or indirect interaction with the brand (LaSalle & Britton, 2003).

Brand experience refers to consumers' subjective and internal responses to brand-related stimuli (Brakus et al., 2009). It provides sensory, affective, intellectual and bodily stimulation, which determine the experiential value to increase the customer's perceived value of a brand (Brakus et al., 2008; Pine & Gilmore, 1999). Brand experience arises from consumers' judgments about what they like or dislike about a product or brand (Spears & Singh, 2004). Evaluation of brand experience is thus subject to the comparison between a customer's expectations and the stimuli coming from the interaction with the brand in correspondence with different touch-point moments (Gentile, Spiller, & Noci, 2007). Brand experience affects customers' feelings, brand attitudes, satisfaction, loyalty (Grace & O'cass, 2005), and emotional and affective responses (Oliver, 1997).

Internal and behavioral responses elicited by the experience of a particular brand are not evaluative (Brakus et al., 2009) but they should be the input to brand attitudes. In most cases, consumers might first have an experience with its marketing communication activities and then subsequently form a judgment about the brand based on personal consumption experience and the outcome.

A brand is a way to provide experiences (Schmitt, 1999). The experiential view of brand preference considers the combined influences of cognitive, emotional, and hedonic responses of buying and consumption on the development and dynamics of brand preference (Holbrook & Hirschman, 1982; Pappu & Quester, 2008). BP addresses consumers' attitudes (Bass & Talarzyk, 1972; Stanton & Lowenhar, 1974) and predispositions or biases towards a certain brand (Zajonc & Markus, 1982). BP reflects the extent to which the customer favors a particular brand in comparison to competing brands in his or her consideration set (Hellier, Geursen, Carr, & Rickard, 2003).

Marketing communication activities, either controlled or uncontrolled, influence brand equity (Madhavaram, Badrinarayanan, & McDonald, 2005) including BP (Alamro & Rowley, 2011). Three common marketing communication activities, advertisements (Ads), PR, and WoM, are basic components of pre-consumption

promotional mixes, and each of them can be a major touch point, although their impact on brand attitudes and perceptions varies in efficiency and effectiveness (McCarville, 2002). Extant studies demonstrate that Ads, PR, and WoM affect people's pre-consumption perceptions of a particular brand's value (e.g., Park & Nicolau, 2015).

Consumer preferences for a product or brand might be built through one or more of six distinct modes: need association, mood association, sub-conscious motivation, behavior modification, cognitive processing, and model emulation (Alreck & Settle, 1999). The last two modes are largely based on the information given in the brand's marketing communication activities, like print Ads and PR events. Ads can be a personal or non-personal presentation and promotion of brands, and play critical roles in customers' pre-purchase information searching stage by affecting brand attitudes, intentions, and perceptions (O'Cass & Grace, 2004). Ads can provoke positive attitudes towards the brand by stimulating favorable, strong and unique brand associations (Cobb-Walgren, Ruble, & Donthu, 1995; Keller, 2007). The theory on attitude towards an advertisement assumes a positive relationship between a consumer's impression of an advertisement and their formation of brand attitude, like preference (e.g., Aaker, 1999; Kirmani & Wright, 1989; Lutz, MacKenzie, & Belch, 1983; Moorthy & Hawkins, 2005; Olson & Thjømøe, 2003; Zarantonello & Schmitt, 2013). Consumers tend to rely on tangible cues, for example, print Ads, to infer brand attributes and associated benefits (e.g., Murray & Schlacter, 1990). Specifically, the content, layout, and color of print Ads could lead to affective responses to brands (e.g., Janiszewski, 1990). All these tangible cues can be major antecedents to customer experience in services. Shoppers from emerging markets are usually not familiar with overseas retail markets and merchandise (Lloyd, Yip, & Luk, 2011; Sharma et al., 2015); therefore, print Ads at overseas destinations serve as a powerful engine to induce positive emotional responses among shoppers (Peck & Wiggins, 2006).

In the present study, we posited that print Ads could exert positive impacts on shoppers' preference for retailer brands and therefore developed the following hypotheses accordingly:

H1A. Print Ads has positive influence on shoppers' preference of retailer brands.

Perceived as an unbiased means of marketing communication (Tang, Morrison, Lehto, Kline, & Pearce, 2009), PR is a marketing tool used to shape consumer attitudes and obtain organizational support for businesses (Robson & Robson, 1996). Previous research has used many descriptions or metaphors to represent PR under different research settings (Hutton, 1999), such as image/reputation management, event marketing, public information, and relationship management. Empirical findings have reported positive effects of PR on brand attitude (O'Cass & Grace, 2004) and BP (Alamro & Rowley, 2011).

In the present study, we used event marketing as the surrogate for PR. The contribution of event marketing in configuring consumers' pre-consumption preference towards retailer brands should not be underestimated (Lahav, Mansfeld, & Avraham, 2013; Robson & Robson, 1996). Event marketing provides an alternative communication platform with which to attract customers' attention and represents the growing trend of PR activities (Zarantonello & Schmitt, 2013). Theoretically, customers' experiences with event marketing activities are more memorable; event marketing could be more powerful in creating a more meaningful, affective, brand-equity building connection with consumers (Miller & Washington, 2012), even provoking emotional responses. Following this vein, we hypothesize that:

H1B. PR has a positive impact on shoppers' brand preference of retailer brands.

WoM communications refer to "all informal communications directed at other consumers about the ownership, usage, or characteristics of particular goods and services or their sellers" (Westbrook, 1987; p. 261). Compared with Ads, WoM is an informal, personal channel of communication that customers prefer to rely on to facilitate learning and evaluation of products and brands (e.g., Bansal & Voyer, 2000; Chevalier & Mayzlin, 2006). The information disseminated through WoM is considered fair, unbiased or not exaggerated (Mourali, Laroche, & Pons, 2005).

WoM can shape customers' brand attitudes (O'Cass & Grace, 2004) and serve as the antecedent of BP (Alamro & Rowley, 2011). In the pre-consumption stage, Mourali et al. (2005) proved that interpersonal noncommercial sources, like WoM, are crucial influential factors in customers' decision making processes. WoM shapes brand attitudes and perceptions and are an important and trustworthy way of disseminating ideas, which might have a follow-on effect on consumption evaluations (Yeoh, Othman, & Ahmad, 2013).

Consumer knowledge theory suggests a consumer's attitude towards an unfamiliar brand is relatively easier to change from WoM than that of a familiar brand (Sundaram & Webster, 1999). Consumers from emerging countries usually have less product and brand knowledge (Batra, 1997) and are not familiar with the shopping environment of overseas markets; accordingly, they tend to rely on WoM to guide their shopping behaviors (Lloyd et al., 2011). The effects of WoM are not always favorable to companies or brands, as they could be positive, neutral or negative (Anderson, 1998), but they should have a positive relationship with brand attitude and preference. The following hypothesis is thus developed:

H1C. WoM has a positive influence on shoppers' preference of retailer brands.

2.2. Brand preference and emotional responses

Brand experience involves overall judgment about the brand (Zeithaml, 1988). This judgment process activates cognitive nodes to associate the brand with certain attributes and features (Anderson, 1983; Keller, 1993), which subsequently provoke emotional responses. For instance, Smilansky (2009) found that experiential elements would enhance brand associations leading to a change in the consumer's attitude and emotions for a brand. Emotions are byproducts of cognitive appraisal process (Bagozzi, Gopinath, & Nyer, 1999; Lazarus & Lazarus, 1994). Emotional benefits are the heart of the consumption experience (Gentile et al., 2007; Meyer & Schwager, 2007). Previous studies have reported the pervasive influence of ER on shopping behaviors and related outcomes (e.g., Cohen, 1990; Machleit & Eroglu, 2000).

ER relates back to emotional (hedonic/affective) values in CPV. Sanchez, Callarisa, Rodriguez, and Moliner (2006) challenged that the consumption-based approach to measuring CPV neglects the potential contributions of brand elements in the pre-consumption stage. Our previously mentioned discussion on BP and emotional benefits also provides theoretical justification that pre-consumption experience should also contribute to transaction-based CPV and global evaluation of brand experience. As a response, this study contributes to existing knowledge of CPV by incorporating pre-consumption influential factors in analyzing shoppers' evaluations of the perceived value of retailer brands. The related hypothesis is hence proposed as follows:

H2A. BP has a positive impact on the perceived value of a retailer brand.

H2B. BP has a positive effect on ER.

2.3. Consumption brand experience and CPV

Practitioners have cherished value provision and experience provision as strategic moves (Lloyd et al., 2011) towards better customer evaluation and higher customer preferences. CPV, according to Zeithaml (1988, p. 14), is "consumer's overall assessment of the utility of a product (or service) based on perceptions of what is received and

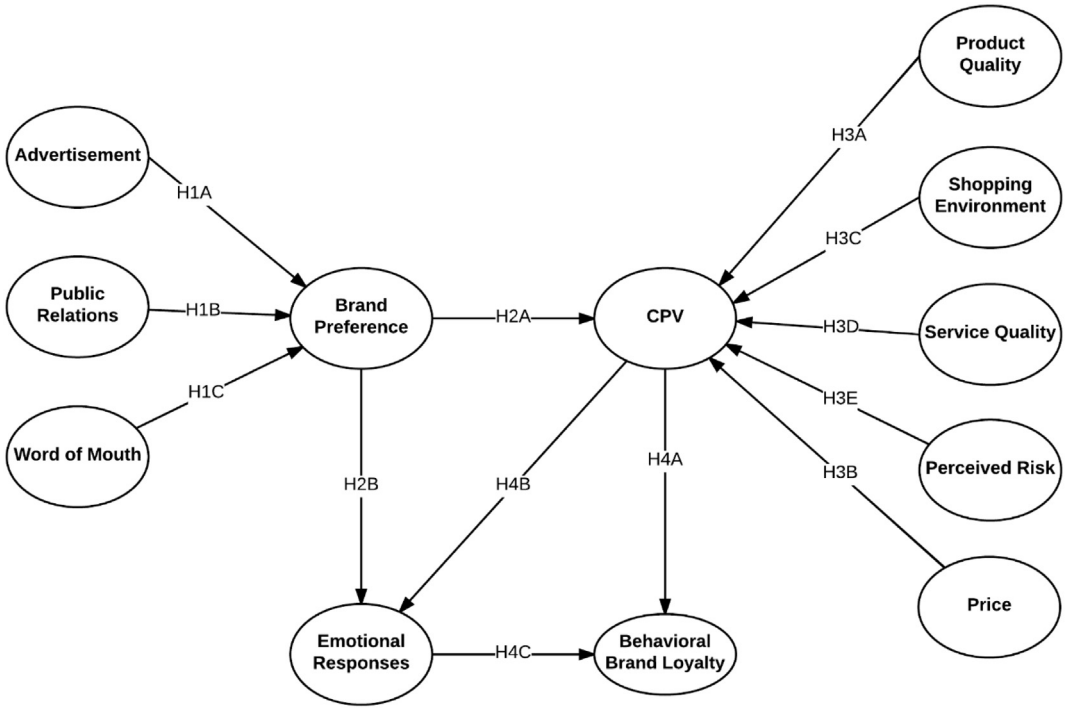

Fig. 1. Conceptual framework with all hypotheses.

what is given." Two components configure CPV: the benefits received (e.g., economic, social, psychological and epistemic benefits) and the sacrifices made (e.g., price, time spent, customers' effort, risk faced) (Sanchez et al., 2006). Perceived value has been widely employed by researchers to investigate its antecedents and influence on consumers' perception of retailer brands (e.g., Lloyd et al., 2011; Sharma et al., 2015; Sweeney & Soutar, 2001).

The conventional wisdom is that CPV is subject to consumption experience and hence many measurement scales for CPV are transaction-based. CPV is a well-established multi-dimensional construct with strong theoretical foundations. In the shopping context, Lloyd and Luk (2010) listed price (PRC), service quality (SER), and product quality (PQ) as the top three drivers of CPV. Other researchers found that CPV can be influenced by other monetary and non-monetary, i.e., rational, emotional, social and psychological, factors such as store shopping environment (ENV) (Grewal & Baker, 1994; Grewal, Iyer, Krishnan, & Sharma, 2003) and risk inherent (RSK) in the purchase (Sweeney, Soutar, & Johnson, 1999). Therefore, instead of providing a lengthy discussion on the domain of CPV in retail settings, we chose to adopt the scales commonly adopted in previous studies by including the following factors in our conceptual model, and developed the following hypotheses accordingly:

H3A. PQ has a positive impact on CPV.

H3B. PRC has a positive impact on CPV.

H3C. ENV has a positive effect on CPV.

H3D. SER has a positive influence on CPV.

H3E. Perceived risk inherent in consumption (RSK) has a negative impact on CPV.

2.4. CPV, emotional response and behavioral brand loyalty

Brand loyalty is a core dimension of brand equity and represents "a barrier to entry, a basis for a price premium, time to respond to competitor innovations, and a bulwark against deleterious price competition" (Aaker, 1996, p. 106). Consumer loyalty is of core importance to maintaining long-term business success. The cost of acquiring a new customer could be five times than that of keeping an existing customer (Peters, 1988). Losing loyal customers means losing part of the "high-margin sector" of the customer base (Keaveney, 1995, p. 71). Oliver (1999) regarded loyalty as a procedural formation following the stages of "cognition-affect-conation" (Oliver, 1999, p. 35). There are four types of brand loyalty: cognitive, attitudinal, conative and behavioral loyalty (e.g., Oliver, 1999). In this study, we intended to clarify the influences of CPV and emotional responses on customer future behaviors; therefore, we focused on behavioral brand loyalty (BBL). Behavioral brand loyalty captures not only (re)purchase loyalty (see Chaudhuri & Holbrook, 2001), but also positive WoM and intention to recommend a particular brand to other people (Bergkvist & Bech-Larsen, 2010).

Brand experience predicts some components of brand equity, such as perceived value and brand loyalty (Brakus et al., 2009; Iglesias, Singh, & Batista-Foguet, 2011). Brand experience provokes favorable brand associations that consequently enhance brand preference and brand trust, and which also determine customer satisfaction and brand loyalty (Brakus et al., 2009; Keller, 2003). A positive, memorable and holistic brand experience of a service contributes to establishing a trustworthy relationship with the customer, resulting in brand loyalty (Owren, 2013). Sweeney and Soutar (2001) demonstrated that customer-perceived values of brands, as important company assets, lead to enhanced brand loyalty and an increase in company profits. Recent studies have reported a positive and highly significant effect of CPV on emotional responses (Llyod & Luk, 2011) and behavioral intentions for shoppers in Hong Kong (e.g., Lloyd et al., 2011). Subsequently, favorable emotional responses will strengthen emotional connections with a brand. Accordingly, the following hypotheses were developed:

H4A. : CPV has a positive impact on BBL.

H4B. : CPV has a positive influence on ER.

H4C. : ER has a positive effect on BBL.

The conceptual framework of this study with all hypotheses are displayed in Fig. 1.

3. Research methodology

As a well-known shopping paradise, Hong Kong, is one of the most desirable tourist destinations in Eastern Asia, with millions of shoppers from diverse demographic and psychographic backgrounds (Luk, Sharma, & Chen, 2013). According to statistics released by the Hong Kong Tourism Board (HKTB) (2016), approximately 70% of visitors came to Hong Kong from mainland China. Among them, those from neighboring cities close to Hong Kong are cross-border shoppers (Sharma et al., 2015) who frequently go to Hong Kong to shop. This shopping behavior makes them qualified respondents for a study of brand loyalty.

This research adopted a post-positivist epistemological stance to design the questionnaire survey research method, strictly following the process of selecting and fine-tuning items, reliability and validity before carrying out model testing.

3.1. Preliminary analysis

Before questionnaire development, we interviewed senior marketing managers from two leading retailers in this retail category to obtain information about industry-wide practice in marketing communications, sales promotions and event marketing activities and the characteristics of information searching behavior of consumers from mainland China. We were told that shoppers from China relied heavily on WoM to choose retailers and products and that all major retailer brands in this category commonly and frequently used print Ads and sponsored fashion shows and beauty competitions to attract customers and enrich brand experience. These qualitative inputs further justified the inclusion of print Ads, WoM, and event marketing as critical brand touch points for investigation.

3.2. Sample and data collection

We employed the street intercept convenience sampling technique to recruit shoppers from southern China out of cosmetics retail outlets in five major shopping areas in Hong Kong: Central, Causeway Bay, Mong Kok, TST, and Shatin. We chose cosmetics retailing for investigation because this research context allows us to collect data suitable for our study. The cosmetics retail category in Hong Kong generated the second largest retail sales revenues, and the majority of shoppers were from mainland China, a growing emerging market.

Each respondent was asked to report her/his purchasing and service consumption experience with the retail outlet where s/he just shopped from. We used the printed advertisements (newspapers and/or magazines) placed and the event marketing activities launched by the retailer of concern in the past 6 months as the frame of reference for respondents to assess. This procedure helped ensure the validity of the findings.

A total of 730 questionnaires were collected, with 710 completely answered and retained for statistical analysis. The sample size complied with Hair, Ringle, and Sarstedt's (2011) rule of thumb for using PLS-SEM. Because of high import tax and Value-Added Tax (17%, equivalent to Sales Tax) adopted by the Chinese government, the retailing price of the same piece of cosmetics in China is normally at least 30% higher than that in Hong Kong. The significantly low prices have attracted many consumers from China to buy cosmetics goods in Hong Kong. This helps explain > 85% of the respondents claimed they had shopping experience with the retailer brand during interview.

3.3. Measures

We revised items from well-established scales. Measures for CPV and its sub-dimensions — PQ, ENV, SER, RSK, PRC —were modified from Lloyd et al. (2011), using a 7-point Likert scale to evaluate respondents' assessments (1 = Strongly Disagree; 7 = Strongly Agree). These CPV measures were first developed by Sweeney and Soutar (2001) and had been proved to be robust and reliable with good content validity. They are widely employed with modifications to accommodate the distinctive characteristics of various types of retail services (e. g., Luk et al., 2013; Lloyd et al., 2011) in evaluating CPV in the retail sector.

Measurement items for Ads, PR, and WoM were revised from Peck and Wiggins's (2006) scale for measuring affective responses to advertising. We asked respondents to indicate their responses by choosing "Dislike/Like," "Unfavorable/Favorable," and "Feel Negative/Feel Positive" on a 7-point Likert scale. However, only those print Ads in newspapers and magazines were considered because we spent approximately five weeks to interview respondents and most cosmetics retailers did not change their print Ads during this period. As such, the respondents more or less used the same frame of reference for evaluation of print Ads placed by the same retailer brand. This reduced the bias in judgment because of the use of different frames of reference by respondents. As for WoM, respondents were asked for their general impression of the messages obtained through both human-based and online channels. Respondents had to choose "Not supportive/Supportive," "Negative/Positive," and "Unfavorable/Favorable" on a 7-point Likert scale. The scale for PR was slightly modified to include the choice of "Did poor job/Did a good job." We assessed the construct ER using Plutchik's (1980) eight-basic-emotion theory and Izard's (1977) Differential Emotion Scale using a 7-point Likert scale. Plutchik (1980) identified the eight emotion categories as the root of all human emotional responses. Items used to test BP were revised from Jara and Cliquet (2012), and items employed to examine BBL were adapted from Jones, Reynolds, and Arnold (2006). All these measurement scales appeared to be valid and robust in previous research.

The data analysis followed a two-stage strategy. In the first stage, we employed SPSS Statistics 22 to generate descriptive statistics of the sample; then, we used SmartPLS 3.0 (Beta) M3 to analyze the measurement model and the hypothesized structural model. Partial Least Square (PLS) specifies "relationships regarding measurement and structural models" (Hair, Black, Babin, & Anderson, 2010, p. 775). Covariance-based SEM (CB-SEM), PLS-SEM and Generalized Structured Component Analysis (GSCA) are all approaches to SEM (Wong, 2013). AMOS is believed to be designed for CB-SEM, whereas Smart PLS and PLS-Graph are regarded as suitable for Variance Based-SEM (VB-SEM)/PLS-SEM. PLS-SEM has been successfully employed in studies in many subjects (Henseler, Ringle, & Sinkovics, 2009). Moreover, PLS readily "handles both formative and reflective constructs" and "can handle large numbers of measured variables and/or constructs easily" (Hair et al., 2010, p. 776). Considering that this study is complex, prediction-oriented and involves the extension of existing structural theories and that the CPV construct in the theoretical framework is formative while other constructs are all reflective, PLS-SEM was chosen for data analysis (Henseler et al., 2009).

We conducted two types of tests to ensure the quality of the collected data was good and adequate for statistical analysis. First, the normality test of Kolmogorov-smirnov test and Shapiro-wilk test proved that the data was not normally distributed. The skewness and kurtosis tests demonstrated that the majority of manifest indicators achieved normal distribution. Second, given that we used self-report surveys to collect data from a single respondent at a single point in time, there might be a potential problem of common method variance (CMV). Indeed, we attempted to minimize this potential method bias when designing the questionnaire. We intentionally included reverse-scored questions for the measurement of perceived risk, and the correlation analysis did not reveal any spurious correlations between this construct and other constructs.

We also followed the Harman test procedures to test the existence of dominant factors with Exploratory Factor Analysis (EFA). The results showed the first factor only accounted for an explained variance < 20%. There is also neither a dominant factor that emerged from the

Table 1
Sample demographic characteristics.

Demographic characteristics	N = 710	%
Gender		
Male	45	6.42
Female	656	93.58
Age		
≤ 20	28	3.97
21–30	376	53.33
31–40	218	30.92
41–50	67	9.50
51–60	13	1.84
> 60	3	0.43
Monthly income		
≤ US$ 1250	418	60.40
US$ 1251–2500	172	24.86
US$ 2501–3750	52	7.51
US$ 3751–5000	31	4.48
> US$ 5000	19	2.75
Education level		
High school or below	175	24.96
College/University	461	65.76
Postgraduate degree	65	9.27

Remarks: The number of respondents under each category may not be equal to 710 because a few respondents opted to skip the answer.

EFA analysis nor any general factor that could be attributable to the majority of variance among variables. Also, we incorporated in the questionnaire two measures on the relationship between membership program and brand image to construct a marker factor to detect the likelihood of the common method variance issue. Theoretically these measures were not correlated with our model. The inclusion of the marker factor only led to decrease in the value of the fit statistics including CFI (− 0.016) and TLI (− 0.015) and RMSEA (− 0.001). All these further supported that the CMV should not be a serious threat to our analysis.

4. Findings and discussion

4.1. Respondents profile

Table 1 depicts the sample characteristics. The sample consisted mainly of female shoppers (93.58%) since the cosmetic industry's customers in Hong Kong and China are mostly females. Over 80% (84.25%) of the respondents aged between 21 and 40, indicating that the sample is highly representative of the youth and middle-aged population. Many respondents were well-educated, with > 70% (75.03%) of them holding a college/university degree or above. These demographic characteristics match well with that of major groups of target customers, as confirmed by the senior marketing management staff of leading cosmetics retailers like Sasa, suggesting a good representation of the population.

4.2. Measurement model testing

The conceptual framework of this study (Fig. 1) involves both reflective (e.g., Ads, PR, and WoM) and formative (i.e., CPV) constructs. Therefore, we treated reflective and formative constructs differently in measurement model evaluations. Specifically, to assess reflective constructs, we tested internal consistency (Cronbach's alpha and construct composite reliability), convergent validity (indicator reliability and average variance extracted), and discriminant validity (Hair, Hult, Ringle, & Sarstedt, 2017). As shown in Table 2, values of Cronbach's alpha (α) ranged from 0.776 to 0.996. Each of the composite reliabilities (*pc*) exceeded the cut-off point of 0.7 (Nunnally, 1978), ranging from 0.899 to 0.997. Convergent validity in this study was confirmed referring to Hair et al.'s (2010) threshold of factor loading of minimum 0.70 and Hair et al.'s (2010) and Fornell and Larcker's (1981) widely-adopted suggestion of Average Variance Extracted (AVE) of 0.5 or higher. Table 2 reveals that AVEs for all the constructs ranged from 0.778 to 0.992. All manifest indicators displayed satisfying standardized regression weights (β) of above 0.70 with the majority of them above 0.90. In the testing of discriminant validity, Fornell and Larcker's (1981) widely-accepted threshold—square root of construct AVE higher than the highest corresponding inter-construct correlation—was fulfilled. As illustrated in the correlation matrix of Table 3, all the square root of AVEs turned out to be bigger than the highest correlation, thereby also confirming discriminant validity.

In this paper, CPV was treated as a formative construct that is constituted by PR, ENV, SER, RKS, and PRC (as shown in Fig. 1, the conceptual framework). To evaluate this formative construct, we first conducted a convergent validity assessment (also called redundancy analysis) in SmartPLS 3.0, followed by the testing of multicollinearity and relevance and significance of outer weights (Hair et al., 2017). As shown in Table 4, the weights of indicators under CPV were statistically significant at the 0.001 level, indicating that all of the CPV indicators explained significant proportions of the variance. Outer loadings of all indicators under CPV far exceeded the threshold of 0.50 (Hair, Hult, Ringle, & Sarstedt, 2014). Regarding multicollinearity, the variance inflation factors (VIF) among the latent constructs ranged from 1.549 to 3.125, which are all far below 5, suggesting that collinearity should not be a concern (Hair et al., 2011; Hair et al., 2017).

Furthermore, Coltman, Devinney, Midgley, and Venaik (2008) advocated using theoretical criteria like the direction of causality and content validity to assess formative model, "supplemented with an empirical assessment by linking the formatively measured construct with another reflexive measured construct to which it relates theoretically" (p. 1254). As explained in the previous section, the CPV model gains sound theoretical justification and the directionality between items and construct matches with what is suggested by the theory. More importantly, the results of the structural model analysis show the relationships of the CPV construct and the reflexive constructs appeared as hypothesized. All these suggested the good validity of the CPV model.

4.3. Model evaluation and hypothesis testing

We followed Hair et al.'s (2017) guidelines of structural model testing in SmartPLS and evaluated coefficients of determination (R^2), predictive relevance (Q^2), significance and size of path coefficients, f^2 effect sizes, and q^2 effect sizes. In line with the suggestions by Hair, Sarstedt, Ringle, and Mena (2012), we used Stone-Geisse's Q^2 to examine the predictive relevance of the full model and various inner models. Table 5 provides coefficients of determination (R^2) and predictive relevance (Q^2) values for all the endogenous variables. All the Q^2 values surpass 0 considerably, suggesting that the exogenous constructs in the model have good predictive relevance for endogenous constructs (Hair et al., 2017). Thus, it can be concluded that the model is predictively relevant because the t-value of endogenous variables are valid (Hair, Hult, Ringle, & Sarstedt, 2013). Both inner model and structural model evaluation support the full model is appropriate for the predictive purpose of the present study.

f^2 measures the extent to which exogenous constructs contribute to endogenous constructs' R^2. The value of f^2 is calculated based on R^2. In this paper, we adopted Hair et al.'s (2017) formula to calculate f^2. Cohen (1988) and Henseler et al. (2009) suggested that f^2 effect size values of 0.02, 0.15, and 0.35 indicate small, medium, and large effects. Table 6 shows the values of f^2 effect sizes. The majority of f^2 values were far below 0.15, a threshold value to satisfy medium effects (Cohen, 1988; Henseler et al., 2009). In particular, six of the f^2 effect sizes (PR → BP, PRC → CPV, ENV → CPV, RSK → CPV, CPV → ER, ER → BL) were extremely small, far below 0.02, indicating very small

Table 2
Reliability of reflective constructs.

Constructs	Items	Loading (β)	Composite reliability (pc)	Cronbach's alpha (α)	AVE	Mean	Standard deviation
Ads	Dislike……Like	0.920**	0.950	0.930	0.826	5.10	0.75
	Unfavorable……Favorable	0.894**				5.07	0.85
	Feel Negative……Feel Positive	0.910**				5.26	0.88
	Unappealing……Appealing	0.910**				5.14	0.86
PR	Unfavorable……Favorable	0.996**	0.997	0.996	0.992	5.53	1.42
	Feel Negative……Feel Positive	0.997**				5.57	1.44
	Done Poor Job……Done Good Job	0.995**				5.63	1.43
WoM	Not supportive……Supportive	0.896**	0.940	0.904	0.838	5.18	0.86
	Unfavorable……Favorable	0.917**				5.17	0.91
	Negative……Positive	0.933**				5.22	0.92
BP	I like this retail brand.	0.914**	0.946	0.923	0.813	5.00	0.83
	This retail brand is good.	0.879**				5.14	0.85
	I react favorably to this retail brand.	0.909**				5.20	0.89
	I feel positively towards this retail brand.	0.905**				5.31	0.89
BBL	I will share my shopping experience about this store with others	0.876**	0.933	0.905	0.778	5.30	1.13
	I will make positive comment(s) about this store	0.880**				5.46	1.05
	I will recommend this store to others	0.909**				5.38	1.14
	I will plan to shop at this store (when visiting HK next time)	0.863**				5.47	1.17
ER	Terrible → Delighted	0.901**	0.899	0.776	0.817	5.09	0.71
	Suffered → Enjoyed	0.906**				5.02	0.74

Notes: 1. Mean values are based on 7-point Likert scale. All correlations are significant at $p < 0.001$ ***.
2. All of the T values in the above table are significant at 0.05 level **.
3. Ads = Advertisements, PR = Public Relations, WoM = Word of Mouth, BP = Brand Preference, BBL = Behavioral Brand Loyalty, ER = Emotional Responses.

Table 3
Validity of the reflective constructs.

	Ads	BBL	BP	ER	PR	PRC	PQ	RSK	SER	ENV	WoM
Ads	*(0.909)*										
BBL	0.420	*(0.882)*									
BP	0.380	0.552	*(0.902)*								
ER	0.254	0.288	0.535	*(0.904)*							
PR	0.220	0.158	0.182	0.053	*(0.996)*						
PRC	0.282	0.461	0.405	0.245	0.040	*(0.955)*					
PQ	0.257	0.441	0.475	0.364	0.098	0.497	*(0.818)*				
RSK	0.247	0.407	0.398	0.266	0.008	0.425	0.452	*(0.856)*			
SER	0.341	0.502	0.506	0.298	0.078	0.485	0.492	0.643	*(0.842)*		
ENV	0.313	0.424	0.419	0.344	0.222	0.380	0.643	0.347	0.459	*(0.830)*	
WoM	0.404	0.479	0.592	0.329	0.176	0.269	0.315	0.325	0.358	0.323	*(0.916)*

Notes: 1. The *italic* number in parenthesis is the square root of AVE.
2. Ads = Advertisements, PR = Public Relations, WoM = Word of Mouth, BP = Brand Preference, PQ = Product Quality, ENV = Shopping Environment, SER = Service Quality, RSK = Perceived Risk, PRC = Price, BBL = Behavioral Brand Loyalty, ER = Emotional Responses.

Table 4
Reliability of the formative construct CPV.

Construct	VIF	Weight	Outer loading
CPV items			
PQ1: This store has a lot of variety.	1.572	0.302***	0.775
PQ2: Products in this store are of consistent quality.	1.730	0.278***	0.790
PQ3: Products available in this store are of good workmanship.	2.425	0.330***	0.880
PQ4: Products in this store are of good design.	1.956	0.312***	0.822
ENV1: The layout of this store is attractive.	1.738	0.325***	0.817
ENV2: The store is spacious.	1.738	0.239***	0.770
ENV3: The window display at this store is attractive.	2.407	0.299***	0.872
ENV4: The atmosphere in this store is pleasant.	2.048	0.339***	0.855
SER1: Service employees at this store have good product knowledge.	2.006	0.304***	0.834
SER2: Service employees at this store are willing to help customers.	2.308	0.316***	0.868
SER3: Service employees at this store can speak good English.	2.108	0.296***	0.854
SER4: Service employees at this store showed respect to me.	2.225	0.287***	0.850
SER5: Service personnel at this store were flexible in responding to my requests.	1.944	0.279***	0.815
RSK1: The chance of being cheated is small when shopping at this store.	2.132	0.450***	0.901
RSK2: I believe it would be safe to use the products available at this store.	2.234	0.427***	0.903
RSK3: Billing is accurate at this store.	1.549	0.275***	0.757
PRC1: Goods at this store are reasonably priced.	3.124	0.519***	0.775
PRC2: Goods at this store offer value for money.	3.125	0.528***	0.954

Notes: 1. * $p < 0.05$. ** $p < 0.01$. *** $p < 0.001$. ns: non-significant.
2. CPV = Customer Perceived Value, PQ = Product Quality, ENV = Shopping Environment, SER = Service Quality, RSK = Perceived Risk, PRC = Price.

Table 5
Predictive relevance (Q^2) and explained variance (R^2) by blindfolding.

	SSO	SSE	Q^2 (= 1-SSE/SSO) (OD = 7)	R^2
Ads	2840.000	2840.000		
BBL	2840.000	2113.358	0.256	0.334
BP	2840.000	1978.832	0.303	0.378
CPV	1420.000	938.743	0.339	0.403
ER	1420.000	1084.890	0.236	0.293
PR	2130.000	2130.000		
PRC	1420.000	1420.000		
PQ	2840.000	2840.000		
RSK	2130.000	2130.000		
SER	3550.000	3550.000		
ENV	2840.000	2840.000		
WoM	2130.000	2130.000		

Note: 1. OD = Omission distance.
2. Ads = Advertisements, PR = Public Relations, WoM = Word of Mouth, BP = Brand Preference, PQ = Product Quality, ENV = Shopping Environment, SER = Service Quality, RSK = Perceived Risk, PRC = Price, BBL = Behavioral Brand Loyalty, ER = Emotional Responses.

Table 6
Values f^2 size.

Construct	Values *f2* size
Ads → BP	0.033
PR → BP	0.005
WOM → BP	0.359
BP → CPV	0.025
BP → ER	0.270
PQ → CPV	0.035
PRC → CPV	0.016
ENV → CPV	0.005
SER → CPV	0.039
RSK → CPV	0.002
CPV → BBL	0.376
CPV → ER	0.009
ER → BL	0.019

Note: Ads = Advertisements, PR = Public Relations, WoM = Word of Mouth, BP = Brand Preference, PQ = Product Quality, ENV = Shopping Environment, SER = Service Quality, RSK = Perceived Risk, PRC = Price, BBL = Behavioral Brand Loyalty, ER = Emotional Responses.

effects (Cohen, 1988; Henseler et al., 2009).

Regarding the impact of individual predictors, Fig. 2 demonstrates that among all the latent variables in the full model, the strongest standardized regression weight exists between CPV and brand loyalty ($\beta = 0.528$, $p < 0.001$), followed by that between brand preference and emotional responses ($\beta = 0.493$, $p < 0.001$). Other coefficient values revealed that WoM has the greatest impact on brand preference ($\beta = 0.519$, $p < 0.001$); in contrast, the effect of advertising is not as strong as expected ($\beta = 0.158$, $p < 0.01$), and the effect of PR activities is weak and statistically insignificant ($\beta = 0.056$, $p > 0.05$). These could be attributed to the fact that major cosmetics retailers in Hong Kong adopted an imitation approach to designing print Ads and event marketing programs. Firstly, cosmetics retailers normally carried similar brand/product portfolios and worked together with the same cosmetics brands for joint advertising. As such, the content, product pictures and even formats of their print Ads appeared quite similar. Secondly, cosmetics retailer brands in Hong Kong tended to imitate the leading brand's event marketing strategy to sponsor various kinds of charities and beauty competitions, such as the Miss Hong Kong Competition, Miss Asia Contest and Beauty Model Contests. Strong communities in these marketing communications might hardly stimulate differential responses to influence brand preference in different ways.

Overall, as shown in Table 7, nearly all hypotheses were confirmed, except H1B, H3C and H3E. However, H4B and H3C gained marginal support at the significance level of 0.05 and 0.10, respectively.

The coefficient value also suggests that PQ ($\beta = 0.210$, $p < 0.001$) and SER ($\beta = 0.225$, $p < 0.001$) are important drivers of the perceived value of retail service. BP triggered by pre-consumption marketing communications programs can elicit positive emotional responses. This phenomenon could be due to most retailers' use of attractive models to show their cosmetics goods in Ads.

However, the effect of ENV on CPV ($\beta = 0.075$, $p < 0.1$) is marginally significant, whereas the impact of RSK on CPV ($\beta = 0.044$, $p > 0.1$) is weak and statistically insignificant. The reason could be that 4–5 retailer brands dominate the cosmetics retail market in Hong Kong, and many cosmetics retailer brands imitate the shop design of the top brands. As such, it is relatively difficult for customers to detect the differences in the shopping environment of major brands.

Perceived risk refers to various types of risks inherent in the purchase and consumption. Major cosmetics brands uphold the principle of "integrity" and refuse to sell faked products. Hence, integrity and product safety is no longer the point-of-differentiation but the point-of-parity. Shoppers thus found it difficult to discriminate competing brands regarding the perceived risk inherent in the purchase, and the lack of significant variations in their responses resulted in weak discrimination power for statistical analysis.

More importantly, the findings support pre-consumption brand experience can reinforce consumption experience (0.152) to enhance the perceived value of the brand and behavioral brand loyalty (approximately 0.14 by adding up all BP's indirect effects on BBL as follows: $0.493 \times 0.119 + 0.152 \times 0.528 + 0.152 \times 0.091 \times 0.119$). By removing the effect of BP on BBL, we can find the net effect of the consumption-based CPV on BBL will reduce to 0.47. Hence the combined effect of pre-consumption experience and consumption experience is more powerful in explaining variations in the evaluation of brand experience and brand loyalty.

5. Conclusions and implications

So far only a few empirical studies have attempted to investigate the combined influences of pre-consumption and consumption experience on shoppers' total brand experience of a retailer brand. This research attempts to bridge this gap by embracing the holistic brand experience theory to examine PR, Ads, and WoM's influences in shoppers' pre-consumption brand experience. By using consumers from mainland China for investigation, the present study contributes to advance our knowledge pertaining to the characteristics of brand experience evaluation behavior by consumers from emerging markets.

Regarding theoretical contributions, our study extends the conceptualization of consumption as the antecedent to customer perceived value by adding pre-consumption experience as a factor and facilitator. Built on a broader brand experience perspective, the theory of brand touch points and the theory of affective responses to marketing communications, the present study first points out there are significant facets of brand experience that have not been investigated in previous empirical studies. Two notable facets are the confusion between brand experience and consumption experience and strong reliance on consumption-based experience to predict the impact on brand equity and brand preference. As a response, our study aims to explore the relationship between brand experience and two higher-level measures of brand equity in Keller's (1993) CBBE model: perceived value and behavioral loyalty. In line with the broader domain of brand experience, we added pre-consumption experience to consumption experience and investigated their combined effect on the perceived value of retailer brands and the resultant impact on brand loyalty. The findings support that both pre-consumption experiences with major communication-based brand contact points and consumption experience with the service contribute to the perceived value of retailer brands. The power of marketing communication activities should not be restricted to

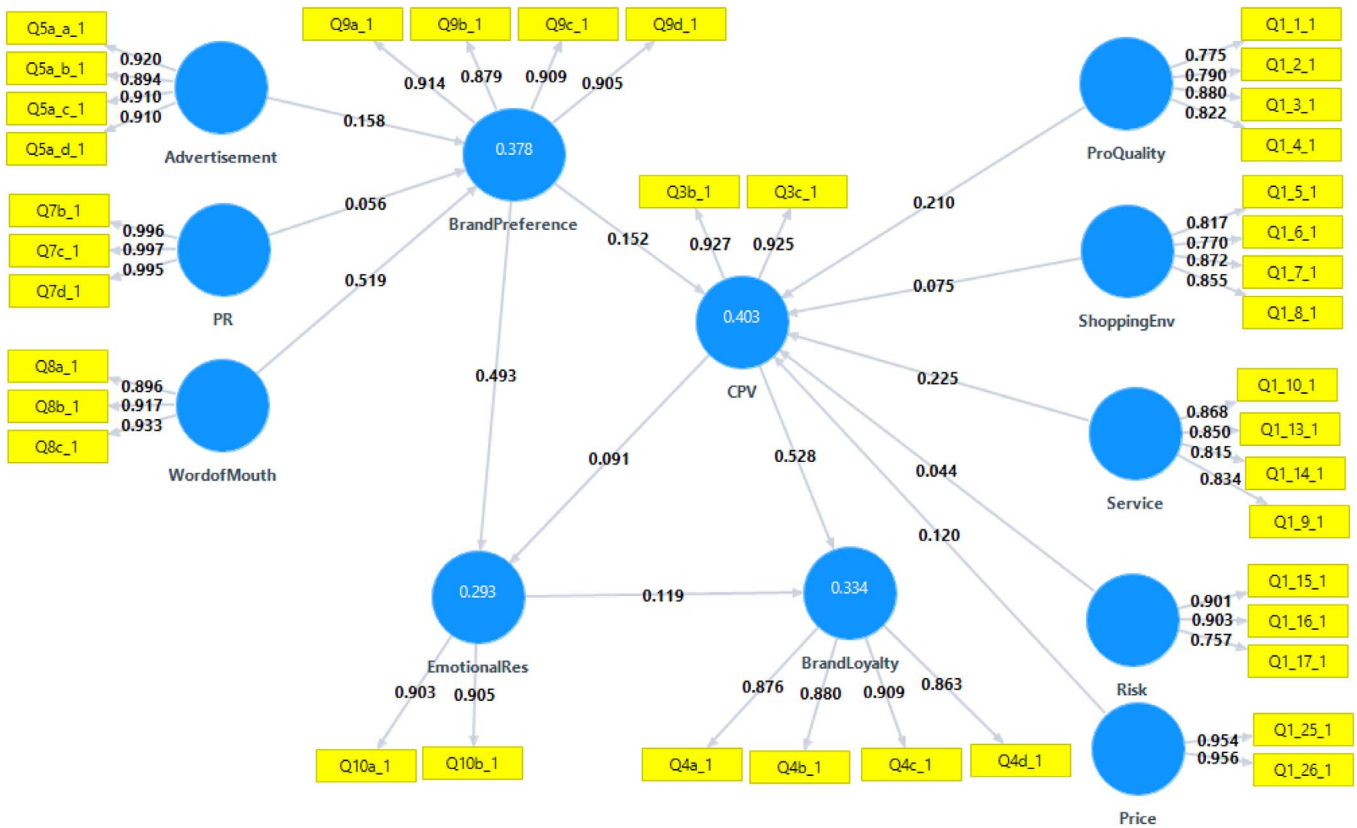

Fig. 2. Algorithm standardized regression weight (between latent variables), factor loadings (between latent variables and manifest indicators), and R^2 (values in circles).

Table 7
Results of hypothesis testing.

Hypotheses	Relationship directionality	Standardized regression weights (β)	T value	*P* value
H1A: supported	Ads → BP	0.158	2.740	0.006**
H1B: *not supported*	PR → BP	0.056	1.533	0.126 ns
H1C: supported	WOM → BP	0.519	8.178	0.000***
H2A: supported	BP → CPV	0.152	3.604	0.000***
H2B: supported	BP → ER	0.493	9.995	0.000***
H3A: supported	PQ → CPV	0.210	4.183	0.000***
H3B: supported	PRC → CPV	0.120	3.136	0.002**
H3C: *not supported*	ENV → CPV	0.075	1.745	0.082 ns
H3D: supported	SER → CPV	0.225	4.954	0.000***
H3E: *not supported*	RSK → CPV	0.044	1.283	0.200 ns
H4A: supported	CPV → BBL	0.528	10.990	0.000***
H4B: supported	CPV → ER	0.091	1.930	0.054*
H4C: supported	ER → BL	0.119	3.204	0.001**

Notes: 1. * $p < 0.05$. ** $p < 0.01$. *** $p < 0.001$. ns: non-significant.
2. Ads = Advertisements, PR = Public Relations, WoM = Word of Mouth, BP = Brand Preference, PQ = Product Quality, ENV = Shopping Environment, SER = Service Quality, RSK = Perceived Risk, PRC = Price, BBL = Behavioral Brand Loyalty, ER = Emotional Responses.

persuasion, the creation of brand awareness and stimulation of purchase behavior. Favorable affective responses to a brand's marketing communication activities during the pre-consumption stage can elicit brand preference that contributes directly to perceived value and indirectly via positive emotional responses.

Among the three types of marketing communication activities, public relation programs in the form of event marketing also have a positive impact on brand preference, but the impact is weak and insignificant. In contrast, consistent with the findings on the characteristics of brand learning behavior by consumers from emerging markets, WoM appears as the most effective in shaping consumers' preference towards the brand, followed by print Ads because differences in socioeconomic conditions give rise to differences in consumer behavior (Greenland et al., 2006; Shukla, 2010; Tse, Belk, & Zhou, 1989). Emerging markets like China are characterized by inefficient communication infrastructure and relatively tight control on dissemination of information. These inevitably restrict local consumers' exposure to information about brands and products, particularly the foreign ones. Relatively, consumers from emerging markets have an inadequate product and brand knowledge. In addition to obtaining information via informal interpersonal communication networks, the rapid development of social media and online networks enables local consumers to access to local and overseas websites to overcome this knowledge hurdle. The findings not only support this view but also indicate the power of WoM in influencing consumers' preference towards retailer brands.

Consistent with prior studies in customer perceived value stream, our findings support that product quality, service quality and price are important determinants of the perceived value of retail service, followed by shop environment. Because the cosmetics retailers market is dominated by a few leading brands who offer well-established branded products, perceived risk turns out as an unimportant factor in brand evaluation.

Briefly, we empirically validate and extend the consumption-based evaluation of the perceived value of service brands to include the consideration of pre-consumption experience. The findings confirm the role of pre-consumption experience on customers' perceived value of retailer brands. Moreover, the research contributes to a better understanding of the impact of different contact points on the development of brand equity in both pre-consumption and consumption phase from a holistic brand management perspective. These brand experience contact points are spread across both pre-consumption and consumption

stage, and those that have a significant impact on brand equity include print Ads, WoM, service contact and product contact. Our findings confirm that consumers will follow the cognitive-affective-behavioral path to adopt a retailer brand. What they learn from the brand's marketing communication programs will cultivate brand preference that, together with the service consumption experience, subsequently provoke favorable emotional responses that reinforce brand loyalty. Besides, both brand experience and brand attitude are antecedents of brand equity, but the predictive power of the former is stronger than the latter.

Regarding management implications, insights from this study suggest new directions for strategically managing brand experience. How to allocate resources for various marketing mix activities that will achieve optimal impact on brand equity (e.g., Alvarez & Casielles, 2005; Low & Mohr, 2000) is of strategic importance to marketers. Our findings contribute to map out the actionable connections between marketing and allocation of financial resources and provide decision guidelines for this purpose. We quantified the conditions under which comparison of the influence of pre-consumption experience and consumption experience and mapping the route of their influences on perceived value and brand loyalty are possible. Hence, how this knowledge can be transferred into practice for sound marketing resources allocation decisions could be handled effectively. For example, WoM is powerful in cultivating and shaping brand preference. Given the rising importance of social media as the major channel for consumers in emerging markets to obtain product and brand information, retailers should spend more in this area than in mass media advertising and PR programs. Other marketing mix elements should receive financial supports are product quality and product mix, service quality and even shop environment.

Furthermore, shoppers want the desired experience that meets their need better (Spreng, MacKenzie, & Olshavsky, 1996; Vandenbosch & Dawar, 2002). The ability to design and deliver the "desired experiences" to customers is an important competitive advantage, but the pre-requisite is retailers must be able to understand what measures are appropriate for different experiential aspects (Mano & Oliver, 1993). Our findings provide insights to deal with this issue. Retailers should go beyond consumption experience by incorporating measures about consumers' experience with marketing communication activities in the pre-consumption phase.

6. Limitation and future research

The present study is not free of limitations. First, the data for analysis was collected from one retail category, and the findings' generalizability might be limited. The first avenue for future research in this stream is to collect data from multiple retail categories to test the generalizability of our findings. Second, we measured respondents' affective responses to selected types of marketing communication programs and their influences on customer-based brand equity. However, the magnitude of impact could be potentially moderated by several factors like type of print Ads, message characteristics and brand status, including strong brand versus weak brand, or premium brand versus mass brand. However, the research design of the present study provided no information to test the aforesaid moderate effect. Future studies can incorporate these moderator variables for a better understanding of the role of marketing communications on the formation and dynamics of brand equity.

Third, we investigated consumers' general impressions of WoM about different retailer brands but did not differentiate WoM as human-based WoM versus online WoM in our study. Given the importance of WoM's effect on brand preference, future research should measure consumers' evaluation of various types of WoM for more insights to develop effective WoM strategies to cultivate a high level of brand preference.

Fourth, our investigation focused on the accumulated effect of experiences at various brand touch points on brand preference, emotion, and perceived value. According to Brakus et al. (2009), brand experience is a global experience, which covers not only consumer's emotions and sensorial stimulation but also analytical and imaginative thinking. Our research design only allowed a direct measure of the brand's performance at different contact points, but the assessment process was not covered. Future research could adopt the brand experience measurement scale by Brakus et al. (2009) for a better understanding of the internal responses to brand experience and the evaluative criteria that the customer relies on to judge whether they like the performance level at various critical touchpoints.

Fifth, the CPV framework is well-established to include many critical touchpoints in the consumption process; but, what contact points in pre-consumption phase may facilitate evaluation of perceived value of a brand has never been investigated empirically. Our study fills up this knowledge void by providing a framework for replication studies to track the influence of individual communication mix elements on brand preference and their flowing-on impact on perceived value and brand loyalty. Future studies can expand to include more communication and promotion elements in both pre-consumption and consumption stage to better capture the distinctive characteristics of various retail categories.

Sixth, in our study, given that over 85% of the respondents had shopping experience with the same retailer brand, their assessment of the three marketing communication elements could be confounded by previous buying and service consumption experience with the brand. Replication studies in future can pay attention to control the sample size of both first-time buyer group and non-first-time buyer group to solve this issue. Besides attitudinal change is an ongoing, dynamic process but our investigation was only based on cross-sectional data. Another area for additional research is to conduct a longitudinal survey to track the changes in brand preference and loyalty in tandem with the changes in the design of the brand experience at different touch points in both pre-consumption and consumption process. Besides, we endeavored to adopt a broader brand experience perspective in this study, but we focused on both pre-consumption and consumption experiences and did not consider the potential impact of post-consumption experience on brand attitude and loyalty. Future research can incorporate critical brand touch points at the post-consumption stage to advance our knowledge of how global brand experience determines brand loyalty.

Finally, although the present study can be considered an original work to adopt the holistic brand experience perspective to investigate the individual impact of pre-consumption and consumption experience respectively and their combined effect on brand experience evaluation and brand loyalty, it restricted to use consumers from an emerging market for investigation. Future research should include consumers from developed markets for comparison purpose and this effort will make the theoretical contributions of the findings to the theory of holistic brand experience under different market contexts more convincing.

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